Mercedes-Benz Group AG

Equity Research Valuation Summary

Group Assignment

Based on FY2025 results and 1Q2026 where applicable

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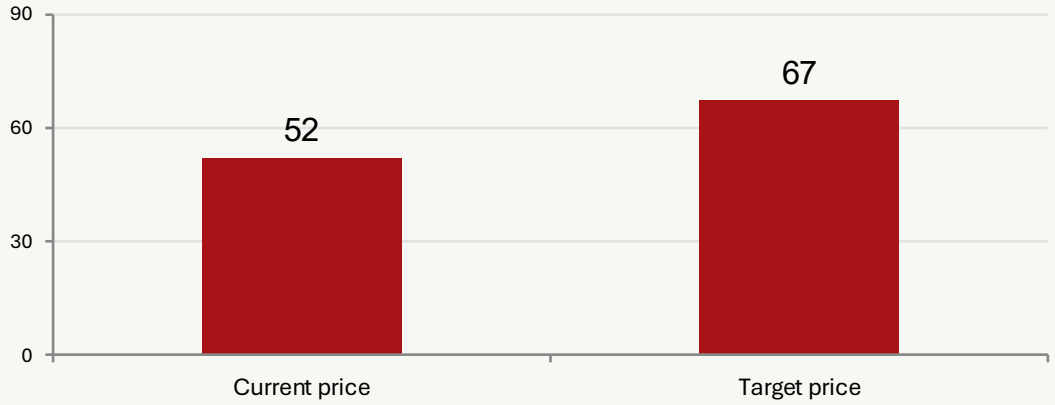


Mercedes-Benz Group: investment view

BUY

Weighted target price implies material upside to the current market price, despite conservative revenue assumptions for 2026-2027.

Target price	Current price	Implied upside
€67.16	€52.19	+28.7%
weighted model output	input in Excel model	vs current price



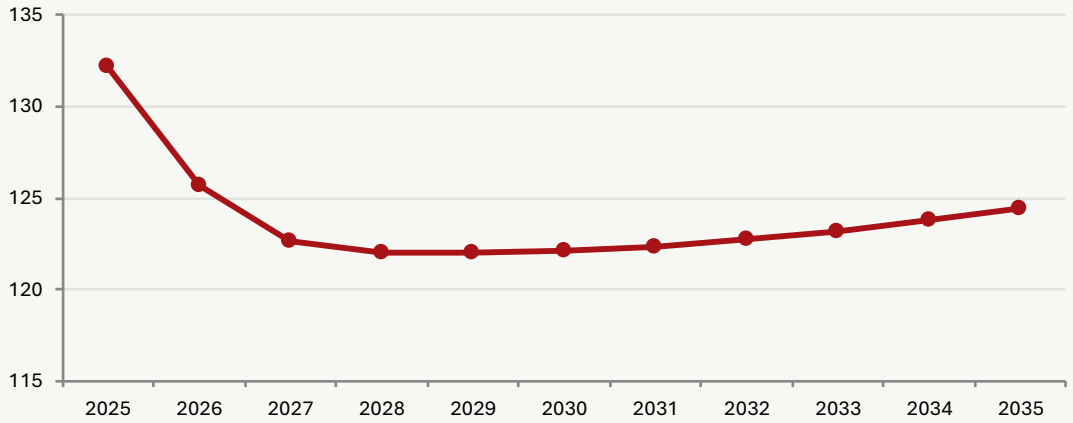
Why upside exists

- FCFE DCF is the largest contributor to the weighted price due to the 30% model weight.
- Core operating assumptions already reflect China competition, tariffs and near-term revenue pressure.
- Margin recovery and normalised CAPEX support medium-term cash flow generation.

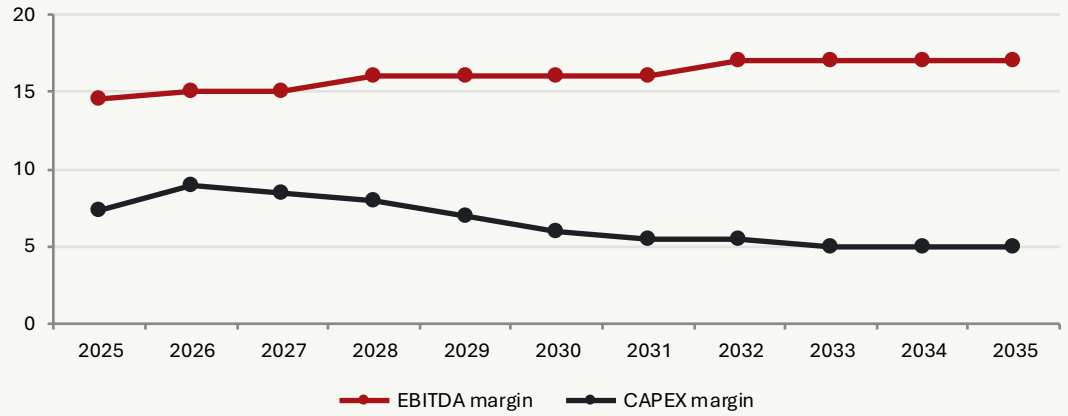
Key model assumptions

Assumptions are intentionally mixed: weak near-term demand and elevated EV transition CAPEX, followed by gradual margin normalisation.

Revenue forecast (€bn)



Margins and CAPEX (% of revenue)



Discount rates
WACC 6.5% | COE 10.5% | COD 3.9%
Beta 1.35; tax rate 30%

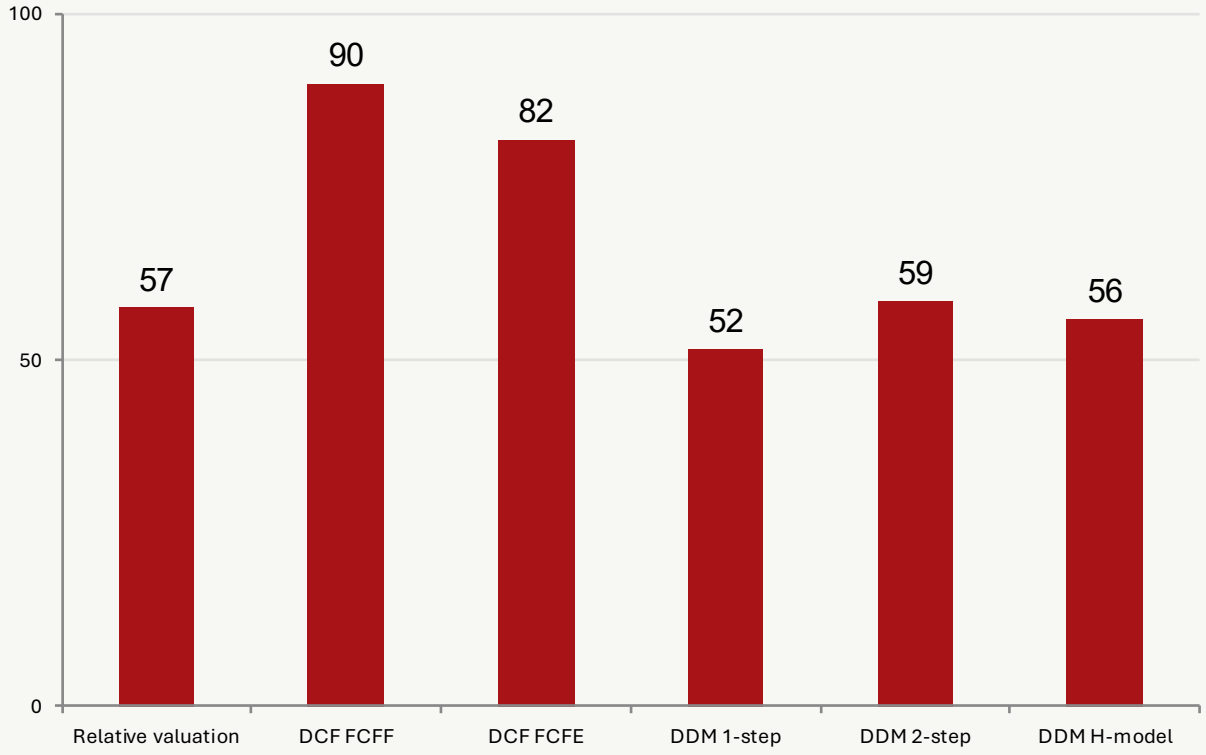
Long-term growth
0.6% in DCF terminal period
2.0% terminal growth in DDM

Dividend policy
Target payout ratio 40%
High-growth DDM phase: 5 years

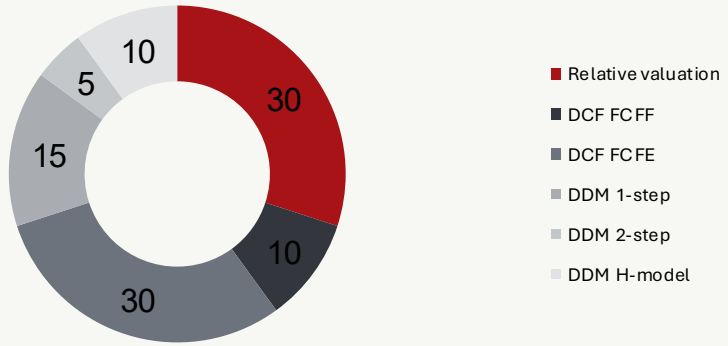
Valuation output and method mix

The weighted target price equals €67.16 per share. Relative valuation is more conservative, while DCF methods carry upside.

Implied share value by method (€)



Method weights



Final conclusion

BUY at current price

Target price: €67.16 | Upside: +28.7%
Sensitivity: the result is driven primarily by FCFE DCF and terminal cash-flow assumptions.